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The EU AI Act aims to
create a level playing
field for AI innovation:
Here's what it is



The European Union's Artificial Intelligence Act, known as the EU AI Act, has been described by the European Commission as “the world’s first comprehensive AI law.” After years in the making, it is progressively becoming a part of reality for the 450 million people living in the 27 countries that comprise the EU.

The EU AI Act, however, is more than a European affair. It applies to companies both local and foreign, and it can affect both providers and deployers of AI systems; the European Commission cites examples of how it would apply to a developer of a CV screening tool and to a bank that buys that tool. Now all of these parties have a legal framework that sets the stage for their use of AI.

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Why does the EU AI Act exist?

As usual with EU legislation, the EU AI Act exists to make sure there is a uniform legal framework applying to a certain topic across EU countries — the topic this time being AI. Now that the regulation is in place, it should “ensure the free movement, cross-border, of AI-based goods and services” without diverging local restrictions.

With timely regulation, the EU seeks to create a level playing field across the region and foster trust, which could also create opportunities for emerging companies. However, the common framework that

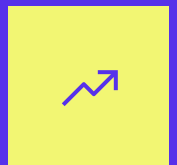
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It has adopted is not exactly permissive: Despite the relatively early stage of widespread AI adoption in most sectors, the EU AI Act sets a high bar for what AI should and shouldn't do for society more broadly.

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What is the purpose of the EU AI Act?

According to European lawmakers, the framework's main goal is to “promote the uptake of human centric and trustworthy AI while ensuring a high level of protection of health, safety, fundamental rights as enshrined in the Charter of Fundamental Rights of the European Union, including democracy, the rule of law and environmental protection, to protect against the harmful effects of AI systems in the Union, and to support innovation.”

Yes, that's quite a mouthful, but it's worth parsing carefully. First, because a lot will depend on how you define “human centric” and “trustworthy” AI. And second, because it gives a good sense of the precarious balance to maintain between diverging goals: innovation vs. harm prevention, as well as uptake of AI vs. environmental protection. As usual with EU legislation, again, the devil will be in the details.

How does the EU AI Act balance its different goals?

To balance harm prevention against the potential benefits of AI, the EU AI Act adopted a [risk-based approach](#): banning a handful of “unacceptable risk” use cases; flagging a set of “high-risk” uses calling for tight regulation; and applying lighter obligations to “limited risk” scenarios.



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Has the EU AI Act come into effect?

Yes and no. The EU AI Act rollout started on August 1, 2024, but it will only come into force through a series of [staggered compliance deadlines](#). In most cases, it will also apply sooner to new entrants than to companies that already offer AI products and services in the EU.

The first deadline came into effect on February 2, 2025, and focused on enforcing bans on a small number of prohibited uses of AI, such as untargeted scraping of internet or CCTV for facial images to build up or expand databases. Many others will follow, but unless the schedule changes, most provisions will apply by mid-2026.

What changed on August 2, 2025?

Since August 2, 2025, the EU AI Act applies to “general-purpose AI models with systemic risk.”

GPAI (general-purpose AI) models are AI models trained with a large amount of data, and that can be used for a wide range of tasks. That’s where the risk element comes in. According to the EU AI Act, GPAI models can come with [systemic risks](#) — “for example, through the lowering of barriers for chemical or biological weapons development, or unintended issues of control over autonomous [GPAI] models.”

Ahead of the deadline, the EU published [guidelines](#) for providers of GPAI models, which include both European companies and non-European players such as Anthropic, Google, Meta, and OpenAI. But since these companies already have models on the market, they will also have until August 2, 2027, to comply, unlike new entrants.

Does the EU AI Act have teeth?

The EU AI Act comes with penalties that lawmakers wanted to be simultaneously “effective, proportionate and dissuasive” — even for large global players.

Details will be laid down by EU countries, but the regulation sets out the overall spirit — that penalties will vary depending on the deemed risk level — as well as thresholds for each level. Infringement on prohibited AI applications leads to the highest penalty of “up to €35 million or 7% of the total worldwide annual turnover of the preceding financial year (whichever is higher).”

The European Commission can also inflict fines of up to €15 million or 3% of annual turnover on providers of GPAI models.

How fast do existing players intend to comply?

The [voluntary GPAI code of practice](#), including commitments such as not training models on pirated content, is a good indicator of how companies may engage with the framework law until forced to do so.

In July 2025, Meta [announced it wouldn't sign](#) the [voluntary GPAI code of practice](#) meant to help such providers comply with the EU AI Act. However, Google soon after [confirmed it would sign](#), despite reservations.

[Signatories](#) so far include Aleph Alpha, Amazon, Anthropic, Cohere, Google, IBM, Microsoft, Mistral AI, and OpenAI, among others. But as we have seen with Google's example, signing does not equal a full-on endorsement.

Why have (some) tech companies been fighting these rules?

While stating in a [blog post](#) that Google would sign the voluntary GPAI code of practice, its president of global affairs, Kent Walker, still had reservations. “We remain concerned that the AI Act and Code risk slowing Europe's development and deployment of AI,” he wrote.

Meta was more radical, with its chief global affairs officer Joel Kaplan stating in a [post](#) on LinkedIn that “Europe is heading down the wrong path on AI.” Calling the EU's implementation of the AI Act “overreach,” he stated that the code of practice “introduces a number of legal uncertainties for

model developers, as well as measures which go far beyond the scope of the AI Act.”

European companies have expressed concerns as well. Arthur Mensch, the CEO of French AI champion Mistral AI, was part of a group of European CEOs who [signed an open letter](#) in July 2025 urging Brussels to [“stop the clock”](#) for two years before key obligations of the EU AI Act came into force.

Will the schedule change?

In early July 2025, the European Union responded negatively to lobbying efforts calling for a pause, saying it would still stick to its timeline for implementing the EU AI Act. It went ahead with the August 2, 2025, deadline as planned, and we will update this story if anything changes.

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Anna Heim

Freelance Reporter | [X](#) [in](#)

Anna Heim is a writer and editorial consultant.

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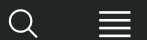


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[regulation for applications of artificial intelligence](#) has come into force starting Thursday, August 1, 2024.

This starts the clock on [a series of staggered compliance deadlines](#) that the law will apply to different types of AI developers and applications. Most provisions will be fully applicable by mid-2026. But the first deadline, which enforces bans on a small number of prohibited uses of AI in specific contexts, such as law enforcement use of remote biometrics in public places, will apply in just six months' time.

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Under the [bloc's approach](#), most applications of AI are considered low/no-risk, so they will not be in scope of the regulation at all.

A subset of potential uses of AI are classified as high risk, such as biometrics and facial recognition, AI-based medical software, or AI used in domains like education and employment. Their developers will need to ensure compliance with risk and quality management obligations, including undertaking a pre-market conformity assessment — with the possibility of being subject to regulatory audit. High-risk systems used by public sector authorities or their suppliers will also have to be registered in an EU database.

A third “limited risk” tier applies to AI technologies such as chatbots or tools that could be used to produce deepfakes. These will have to meet some transparency requirements to ensure users are not deceived.

Penalties are also tiered, with fines of up to 7% of global annual turnover for violations of banned AI applications; up to 3% for breaches of other obligations; and up to 1.5% for supplying incorrect information to regulators.

Another important strand of the law applies to developers of so-called general purpose AIs (GPAIs). Again, the EU has taken a risk-based approach, with most GPAI developers facing light transparency requirements — though they will need to provide a summary of training data and commit to having policies to ensure they respect copyright rules, among other requirements.

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Just a subset of the most powerful models will be expected to undertake risk assessment and mitigation measures, too. Currently these GPAIs with the potential to post a systemic risk are defined as models trained using a total computing power of more than 10^{25} FLOPs.

While enforcement of the AI Act's general rules is devolved to member state-level bodies, rules for GPAIs are enforced at the EU level.

What exactly GPAI developers will need to do to comply with the AI Act is still being discussed, as Codes of Practice are yet to be drawn up. [Earlier this week](#), the [AI Office](#), a strategic oversight and AI-ecosystem building body, kicked off a consultation and call for participation in this rule-making process, saying it expects to finalize the Codes in April 2025.

In its [own primer for the AI Act late last month](#), OpenAI, the maker of the GPT large language model that underpins ChatGPT, wrote that it anticipated working “closely with the EU AI Office and other relevant authorities as the new law is implemented in the coming months.” That includes putting together technical documentation and other

guidance for downstream providers and deployers of its GPAI models.

“If your organization is trying to determine how to comply with the AI Act, you should first attempt to classify any AI systems in scope. Identify what GPAI and other AI systems you use, determine how they are classified, and consider what obligations flow from your use cases,” OpenAI added, offering some compliance guidance of its own to AI developers.

“You should also determine whether you are a provider or deployer with respect to any AI systems in scope. These issues can be complex so you should consult with legal counsel if you have questions.”

Exact requirements for high-risk AI systems under the Act are also a work in progress, as European standards bodies are involved in developing these stipulations.

The Commission has given the standards bodies until April 2025 to do this work, after which it will evaluate what they’ve come up with. The standards will then need to be endorsed by the EU before they come into force for developers.

This report was updated with some additional detail regarding penalties and obligations. We also clarified that registration in the EU database applies to high-risk systems that are deployed in the public sector.

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Natasha Lomas

Senior Reporter | [X](#) [in](#)

Natasha was a senior reporter for TechCrunch, from September 2012 to April 2025, based in Europe. She joine...

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AI



EU's AI Act gets published in bloc's Official Journal, starting clock on legal deadlines

Natasha Lomas — 1:51 AM PDT · July 12, 2024

The full and final text of the [EU AI Act](#), the European Union's landmark risk-based regulation for applications of artificial intelligence, has been published in the bloc's [Official Journal](#).

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In 20 days' time, on August 1, the new law will come into force and in 24 months — so by mid-2026 — its provisions will generally be fully applicable on AI developers. However, the law takes a phased approach to implementing the EU's AI rulebook, which means there are various deadlines of note between now and then — and some even later still — as different legal provisions will start to apply.

EU lawmakers clinched a political agreement on the bloc's first comprehensive rulebook for AI in [December last year](#).

The framework puts different obligations on AI developers, depending on use cases and perceived risk. The bulk of AI uses will not be regulated as they are considered low risk but a small number of potential use cases for AI are banned under the law.

So called “high risk” use cases — such as biometric uses of AI, or AI used in law enforcement, employment, education and critical infrastructure — are allowed under the law but developers of such apps face obligations in areas like data quality and anti-bias.

A third risk tier also applies some lighter transparency requirements for makers of tools like AI chatbots.

For makers of general purpose AI (GPAI) models, such as OpenAI's GPT, the technology underlying ChatGPT, there are also some transparency requirements. The most powerful GPAIs, generally set based on compute threshold, can be required to carry out systemic risk assessment too.

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Heavy [lobbying by some elements of the AI industry](#) backed by a handful of Member States' governments sought to water down obligations on GPAIs over concerns the law could hold back Europe's ability to produce homegrown AI giants to compete with rivals in the U.S. and China.

Phased implementation

First up, the list of prohibited uses of AI will apply six months after the law comes into force — so in early 2025.

Banned (or “unacceptable risk”) use cases for AI that will soon be illegal include China-style social credit scoring; compiling facial recognition databases by untargeted scraping of the internet or CCTV; and the use of real-time remote biometrics by law enforcement in public places unless one of several exceptions apply, such as during a search for missing or abducted persons.

Next, nine months after entry into force — so around April 2025 — codes of practice will apply on developers of in-scope AI apps.

The EU's [AI Office](#), an ecosystem-building and oversight body established by the law, is responsible for providing these codes. But who will *actually* write the guidelines is still raising questions.

According to a [Euractiv](#) report earlier this month, the EU has been looking for consultancy firms to draft the codes, triggering [concerns from civil society](#) that AI industry players will be able to influence the shape of the rules that will be applied to them. More recently, [MLex](#) reported that the AI Office will launch a call for expression of interest to select stakeholders to draft the codes of practice for general purpose AI models following pressure from MEPs to make the process inclusive.

Another key deadline falls 12 months after entry into force — or August 1, 2025 — when the law's rules on GPAIs that must comply with transparency requirements will start to apply.

A subset of high-risk AI systems have been given the most generous compliance deadline, with 36 months after entry into force — until 2027 — allowed for them to meet their obligations. Other high-risk systems must comply sooner, after 24 months.

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Natasha Lomas

Senior Reporter | [X](#) [in](#)

Natasha was a senior reporter for TechCrunch, from September 2012 to April 2025, based in Europe. She joine...

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